

**The Workings of a Co-operative Bank and its Role in Real Estate
Finance & Development — A Case Study on Zoroastrian Bank**

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Abstract

Co-operative banks are member-owned lenders that pool local savings and extend credit to nearby households and small firms. In India, they play a key role in financial inclusion, especially for small housing needs and community redevelopment. This paper examines the Zoroastrian Co-operative Bank Ltd. (ZCBL) in Mumbai to show how a community bank can support real estate finance while preserving cultural life in Parsi baugs.

The study asks: How does ZCBL’s co-operative model improve access, affordability, and cultural continuity in housing? Objectives are to (i) trace how deposits become property-linked credit, (ii) review underwriting, risk and regulatory compliance, and (iii) assess development outcomes for households and societies. A descriptive case study draws on secondary data from audited annual reports and RBI/NABARD publications.

Findings indicate that focused, relationship-based lending—mortgages, society repair loans, and loans against property—can close local credit gaps with low risk when supported by strong governance and prudential norms. Constraints include capital size, technology, and exposure limits. The paper argues for deeper digital tools, selective partnerships, and links to public housing programs to scale ZCBL’s inclusive and culturally supportive housing finance.

Keywords: cooperative banking, real estate finance, Zoroastrian Bank, credit flow, community housing, development finance

Introduction

Housing is not only a basic need but also a foundation for community identity and cultural continuity. For the Parsi community in Mumbai—a small yet historically significant group—secure and affordable housing has played a vital role in maintaining social bonds, religious traditions, and collective identity. Many Parsi families continue to live in “baugs,” the cooperative housing colonies

built over a century ago. However, as Mumbai's property prices rise and redevelopment pressures increase, access to affordable housing has become a growing concern. In this setting, the **Zoroastrian Co-operative Bank Ltd. (ZCBL)** serves as more than a financial institution—it functions as a community-based enabler of real estate finance and cultural preservation¹.

The **co-operative movement in India** began in the early 20th century as a response to rural indebtedness and lack of access to formal credit. The **Cooperative Societies Act of 1904** laid the foundation for local self-help institutions based on collective ownership and democratic control. Over time, the movement expanded to urban areas, giving rise to **Urban Co-operative Banks (UCBs)** that catered to small businesses, self-employed individuals, and salaried workers (Reserve Bank of India [RBI], 2024). Today, more than 1,500 UCBs operate across India, collectively holding over ₹6.5 trillion in deposits and ₹4.8 trillion in loans (RBI, 2024)². These banks differ from commercial banks because they are owned by their members and prioritize social objectives—such as financial inclusion and local development—over pure profit maximization.

Housing finance remains one of the most important areas where co-operative banks play a meaningful role. While large commercial banks and housing finance companies dominate mortgage markets, they often prefer high-income borrowers with formal income proofs. In contrast, co-operative banks tend to understand their local customers better and provide loans to lower- and

¹ (The Zoroastrian Co-operative Bank Ltd. (2025). 98th Annual Report 2024-25. Retrieved from <https://zoroastrianbank.com/download/Zoroastrian-Bank-Annual-Report-2025-Final.pdf>)

² (NABARD. (2024). Cooperatives: Tackling challenges, building opportunities. <https://www.nabard.org/pdf/2024/cooperatives-tackling-challenges-building-opportunities.pdf>.)

middle-income families who may not meet rigid lending criteria. This makes them crucial in addressing the “missing middle” in India’s housing finance ecosystem³.

The Zoroastrian Co-operative Bank, founded in 1927 by members of Mumbai’s Parsi community, was created with the mission to promote thrift, self-reliance, and mutual aid. Initially, the bank served Parsi traders and households excluded from mainstream finance, but over the decades, it has expanded its operations while preserving its community-centered values. The bank’s involvement in housing and property finance—particularly loans for homes within Parsi colonies and for cooperative redevelopment projects—makes it a unique example of how financial institutions can contribute to both economic and cultural sustainability⁴.

This research paper aims to study how Zoroastrian Bank’s cooperative model supports real estate finance and urban development through housing and property lending. It examines how the bank’s credit policies, governance structure, and customer relationships help make housing more accessible and affordable, while also supporting the preservation of cultural spaces. The study also explores challenges faced by co-operative banks in today’s competitive and regulated environment.

Historical Background

The Zoroastrian Co-operative Bank Ltd. (ZCBL) was founded on 17 June 1927 by Sir Hormusjee Cowasjee Dinshaw Adenwalla, a Parsi industrialist and philanthropist, to mobilize community savings and extend fair local credit based on trust and mutual help (Zoroastrian Co-operative Bank, n.d.). During the early 20th century, small traders and salaried families had limited access to formal credit, so a member-owned co-operative bank offered them a secure and

³ (Raju, S. (2018). Assessing the efficiency of urban co-operative banks in India. *The Central European Review of Economics and Management (CEREM)*, 2(1), 11–42.

<https://doi.org/10.29015/cerem.550>)

⁴ The Zoroastrian Co-operative Bank Ltd. (n.d.). History. <https://zoroastrianbank.com/history.aspx>)

community-controlled alternative. Rooted in India's co-operative tradition, ZCBL operates on principles of mutual aid, open membership, and democratic governance—guided by the rule of “one member, one vote,” which aligns lending with community priorities⁵

From its modest origins, the bank expanded steadily and, in November 2013, attained Multi-State Scheduled Co-operative Bank status under the RBI's Second Schedule, enhancing credibility and reach⁶. Today, ZCBL balances heritage and modernization through strong capital adequacy (CRAR 22.09%) and zero net NPAs, supported by digital tools such as Finacle Core Banking, mobile banking, and UPI (Zoroastrian Co-operative Bank, 2024). Its governance and local knowledge make it well-suited for sustainable real estate and housing finance within RBI prudential norms.

Literature Review

India's co-operative banking system is one of the oldest forms of community finance, promoting financial inclusion and social development since the early 20th century (Press Information Bureau, Government of India, 2024). Co-operative banks operate under RBI and state regulation, serving both rural and urban populations through pooling savings and offering affordable local credit. According to RBI's *Trends and Progress of Banking in India 2023–24*, Urban Co-operative Banks (UCBs) manage ₹6.5 trillion in deposits and ₹4.8 trillion in advances, supporting small borrowers excluded from commercial banking. India's cooperative movement: Driving inclusive

⁵ arZan. (2013, July 25). The Parsi baugs of Mumbai. Parsi Khabar.

<https://parsikhabar.net/bombay/the-parsi-baugs-of-mumbai/6623/>)

⁶ Reserve Bank of India. (n.d.). *Brief history – Urban co-operative banks in India*.

https://rbi.org.in/history/Brief_Fun_UrbanCoopBanks.html).

growth⁷.notes that these banks reduce informal lending and strengthen financial resilience, while the *Global Findex Database* (2021) shows they fill key gaps in formal credit access.⁸

Smaller, community-based banks have strong informational advantages. *Financial Intermediation Theory* explains that banks like UCBs reduce credit risk by using local and social knowledge to assess trust and reliability (Diamond, 1984). This “soft information” approach helps them monitor borrowers closely, improving loan performance and inclusion.

Co-operative banks bridge housing finance gaps left by large lenders that focus on high-income borrowers. RBI exposure norms limit housing loans to 25% of advances, yet UCBs still play a vital role in affordable housing and redevelopment (RBI, 2025). The Zoroastrian Co-operative Bank’s strong capital ratio (CRAR 22.09%) and zero NPAs.⁹demonstrate how prudent, locally rooted finance can sustain cultural housing communities like Mumbai’s Parsi baugs

Research Methodology

This study uses a descriptive and qualitative case study design to understand how the Zoroastrian Co-operative Bank Ltd. (ZCBL) supports real estate finance and community housing in India. The case study approach helps to explore one institution’s working, housing loan policies, and community role in detail, which broader surveys cannot show¹⁰.

⁷ Press release. <https://www.pib.gov.in/PressNoteDetails.aspx?NoteId=153419&ModuleId=3>) .)

⁸ Reserve Bank of India. (2004). Developments in co-operative banking (Chapter 4). In *Report on trend and progress of banking in India, 2003-04*. Retrieved from <https://www.rbi.org.in/upload/Publications/PDFs/58848.pdf>)).

⁹ The Zoroastrian Co-operative Bank Ltd. (2024). *Annual Report 2023–24*. <https://zoroastrianbank.com/download/ZCBL-Annual-Report-23-24.pdf>)

¹⁰ Reserve Bank of India (RBI). (2025, Feb 24). Prudential norms for UCBs—aggregate housing and real-estate exposure limits. https://www.pdicai.org/Docs/RBI-2024-25-118_252202515321192.pdf)).

Both primary and secondary data are used. Primary inputs, where available, include informal talks with bank staff, customers, and members of Parsi housing societies to understand loan access and satisfaction. The main data source is ZCBL's Annual Reports (2018–2024), which provide audited information on deposits, advances, and NPAs. Other secondary sources include RBI's Trends and Progress of Banking in India 2023–24, NABARD's Microfinance in India 2023–24 Report, and industry studies from EY, CareEdge Ratings, and *The Economic Times*¹¹.

Trend and ratio analyses (Loan-to-Deposit Ratio, CRAR, ROA, NPA%) are used to study growth, efficiency, and financial strength. The focus is mainly on Mumbai and nearby regions, where the bank's housing finance is active.

There are some limitations—restricted access to primary data, dependence on public reports, and region-specific findings. Still, combining data from RBI, NABARD, and ZCBL's audited reports strengthens the study's reliability and gives a strong base for understanding how a community bank like ZCBL blends financial safety with social purpose¹².

Co-operative Banking in India: Structure and Policy Framework

India's co-operative banking system was built to pool local savings and give fair credit to local people. It has two broad parts: rural co-operatives and urban co-operative banks (UCBs). Rural co-operatives include State Co-operative Banks, District Central Co-operative Banks, and Primary Agricultural Credit Societies. UCBs work mainly in towns and cities and serve salaried workers, traders, and small businesses. While co-operative banks are registered under state co-operative laws,

¹¹ ((NABARD. (2024). Microfinance in India 2023–24. National Bank for Agriculture and Rural Development. <https://www.nabard.org/auth/writereaddata/tender/0808244223NABARD-SOMFI%20%20%20%20%20%20%20%20%2020232024%20%20%20%20%20%2030072024.pdf>)).

¹² ((The Zoroastrian Co-operative Bank Ltd. (2024). Annual Report 2023–24. <https://zoroastrianbank.com/download/ZCBL-Annual-Report-23-24.pdf>)).

their banking activities are regulated by the Reserve Bank of India (RBI). The RBI's Urban Banks Department explains this shared arrangement and its responsibilities for supervision, lists, and compliance (RBI, n.d.). In addition, NABARD supports the co-operative credit ecosystem through oversight, capacity building, and development programs)¹³.

Over time, UCBs have become a permanent part of India's banking mix. They are member-owned and follow the principle of "one member, one vote," so control stays with depositors and borrowers rather than outside shareholders. Their role is small in total market share but large for financial inclusion, because they understand local customers and accept smaller ticket sizes. RBI's annual report *Trend and Progress of Banking in India 2023–24* carries a dedicated chapter on co-operative banking and provides tables on UCB performance, showing the sector's steady presence alongside commercial banks and NBFCs (RBI, 2024).

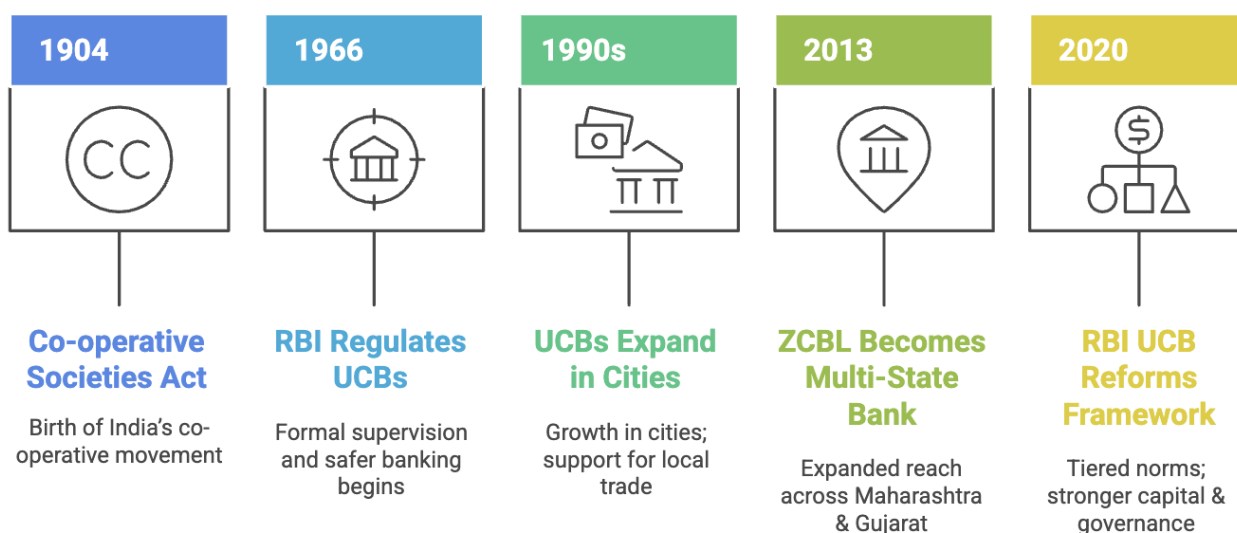
Evolution of Co-operative Banking in India and Zoroastrian Bank's Milestones

Year	Policy / Event	Significance
1904	<i>Co-operative Societies Act</i>	Marked the beginning of India's co-operative movement, promoting thrift, self-help, and mutual aid among farmers and local communities.
1966	<i>RBI takes regulatory control of Urban Co-operative Banks (UCBs)</i>	Brought UCBs under formal supervision of the Reserve Bank of India, ensuring safer and more uniform banking practices.
1990	<i>Rapid Expansion of Urban</i>	Co-operative banks expanded into urban and semi-

¹³ (NABARD. (2024). Cooperatives: Tackling challenges, building opportunities.

<https://www.nabard.org/pdf/2024/cooperatives-tackling-challenges-building-opportunities.pdf>)

s	<i>Co-operative Banks</i>	urban areas, supporting small traders, self-employed workers, and local industries.
2013	<i>Zoroastrian Co-operative Bank attains Multi-State Scheduled Status</i>	Gained recognition as a Multi-State Scheduled UCB, expanding its operations across Maharashtra and Gujarat under RBI's Second Schedule.
2020	<i>RBI introduces UCB Reforms Framework</i>	Launched tier-based regulation, stronger capital adequacy norms, and improved governance and audit mechanisms for the entire sector.



Since 2020, policy reform has focused on stronger supervision and governance. The Banking Regulation (Amendment) Act, 2020 gave RBI more tools to regulate and supervise co-operative banks, including powers aimed at improving board oversight, audit, and risk controls (PIB, 2025). In July 2022, RBI issued a revised, four-tier regulatory framework for UCBs, linking regulatory requirements to a bank's size and risk profile; follow-up circulars set clearer expectations for net worth, CRAR (capital adequacy), provisioning, and compliance functions (TeamLease RegTech, 2022; Mehta & Mehta Advisory, 2022; RBI/Gujfed, 2023). These steps were responses to stress

cases in parts of the sector and were designed to protect depositors while allowing sound UCBs to grow.

For housing finance, policy support comes from two national pillars. First, Pradhan Mantri Awas Yojana (Urban) provides subsidy and program support for affordable housing through components such as Credit Linked Subsidy Scheme (CLSS), Affordable Housing in Partnership (AHP), and Beneficiary-Led Construction (BLC) (MoHUA, 2024; 2017). Second, the **Real Estate**¹⁴. RERA helps lenders—especially smaller lenders—by improving information on approvals, timelines, and use of funds (MoHUA, 2017). These two policies aim to reduce risk, improve trust, and make it easier for banks to support housing¹⁵.

Within this framework, RBI has **clarified exposure norms** for UCBs so they can support home loans while avoiding concentration risk. As of 2025, RBI allows UCBs to have **aggregate exposure to** residential mortgages up to 25% of total loans and advances, while exposure to the wider real-estate sector (excluding individual housing) is capped at 5%. RBI also revised individual housing-loan limits by UCB tier, raising limits to reflect house-price inflation in cities¹⁶. Alongside,

¹⁴ **(Regulation and Development) Act (RERA), 2016** increases market transparency by requiring project registration, escrow discipline, and disclosures(<https://mohua.gov.in/upload/uploadfiles/files/6%2810%29.pdf>)

¹⁵ (Mehta & Mehta Advisory. (2022, Dec 7). Revised regulatory framework—Net worth & capital adequacy for UCBs (Dec 1, 2022). <https://mehta-mehtaadvisory.com/rbi-update-revised-regulatory-framework-for-urban-co-operative-banks-ucbs-net-worth-and-capital-adequacy-dated-1st-december-2022/>)

¹⁶ Reuters. (2025, Feb 24). *India's central bank relaxes certain norms for urban co-operative banks.* <https://www.reuters.com/world/india/indias-central-bank-relaxes-certain-norms-urban-co-operative-banks-2025-02-24/>)

prudential rules require higher **capital adequacy** for larger UCBs—**12% CRAR** for Tiers 2–4 and **9%** for Tier 1—phased in over time.¹⁷

India's policy stance is a two-handed approach: (1) make UCBs safer and better governed (post-2020 reforms, tiered regulation, capital standards), and (2) make housing markets clearer and more affordable (Ministry of Housing & Urban Affairs (MoHUA))¹⁸. For a community-based bank like the Zoroastrian Co-operative Bank, this framework matters. It sets the limits and tools for lending to households and societies, helps the bank price risk, and ties its growth to sound governance. At the same time, national housing policies create demand and structure for affordable projects that a UCB can finance. The result is a clearer policy path for co-operative banks to connect financial inclusion with urban housing—precisely the link this case study examines.

Zoroastrian Co-operative Bank: Organizational Profile and Community Role

The Zoroastrian Co-operative Bank Ltd. (ZCBL), founded in 1927 in Mumbai, is one of India's oldest and most respected urban co-operative banks. It was established by leading members of the Parsi Zoroastrian community, led by Sir Hormusjee Cowasjee Dinshaw Adenwalla, with a mission to encourage thrift, promote self-help, and provide fair banking access to the middle-class and small business community. What began as a small community institution has, over the decades, evolved into a multi-state scheduled co-operative bank under the regulatory supervision of the Reserve Bank of India (RBI). Its registered head office is in Mumbai, but its operations extend to other states such as Gujarat and Maharashtra (Zoroastrian Co-operative Bank Ltd., 2024).

¹⁷ ((LawAsia. (2023, June 12). *RBI releases prudential norms for urban banks*. <https://law.asia/rbi-releases-prudential-norms-urban-banks/>).

¹⁸ (2017). *Credit Linked Subsidy Scheme—CLSS guidelines (PMAY-U)*. https://mohua.gov.in/upload/uploadfiles/files/5CLSS_EWS_LIG_English_Guidelines_wb.pdf).

The organizational structure of the bank follows the traditional co-operative model: it is owned by its members, managed by a democratically elected Board of Directors, and professionally supervised by senior management officials. The Board of Directors provides policy direction and ensures compliance with RBI guidelines, while the Chief Executive Officer (CEO) and senior managers handle day-to-day operations, credit approvals, and branch coordination. ZCBL maintains an effective system of internal audits and risk management, overseen by specialized committees such as the Audit Committee, Risk Management Committee, and Credit Committee ¹⁹. The governance model thus combines democratic ownership with professional accountability, ensuring both transparency and community trust.

Table:- Zoroastrian Bank's Financial Performance (2018–2024)

Year	Deposits (₹ Crore)	Advances (₹ Crore)	Business Mix (₹ Crore)	CRAR (%)	Net NPA (%)
2018– 19	700	600	1300	19.5	0.10
2020– 21	760	650	1410	20.1	0.05
2022– 23	860	710	1570	21.8	0.00
2023– 24	888.67	746.65	1635.32	22.09	0.00

¹⁹ ((The Zoroastrian Co-operative Bank Ltd. (2024). Annual Report 2023–24.
<https://zoroastrianbank.com/download/ZCBL-Annual-Report-23-24.pdf>).

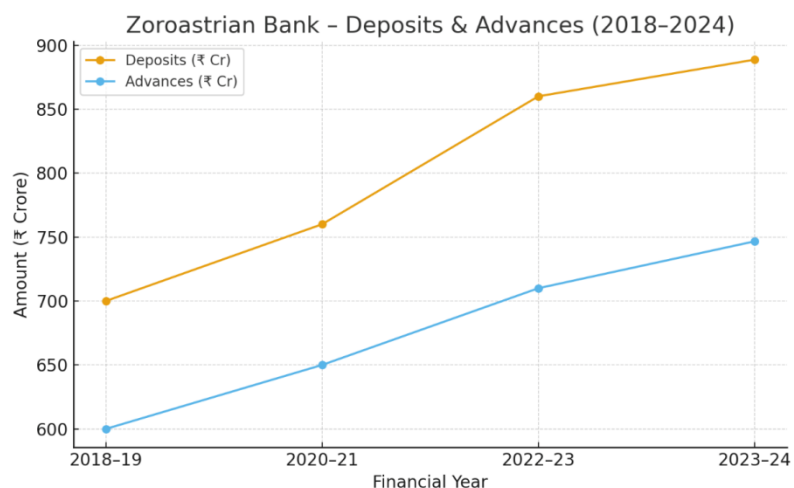


Figure - Deposits & Advances Trend (2018–2024) – shows steady growth in both deposits and advances, reflecting healthy business expansion.

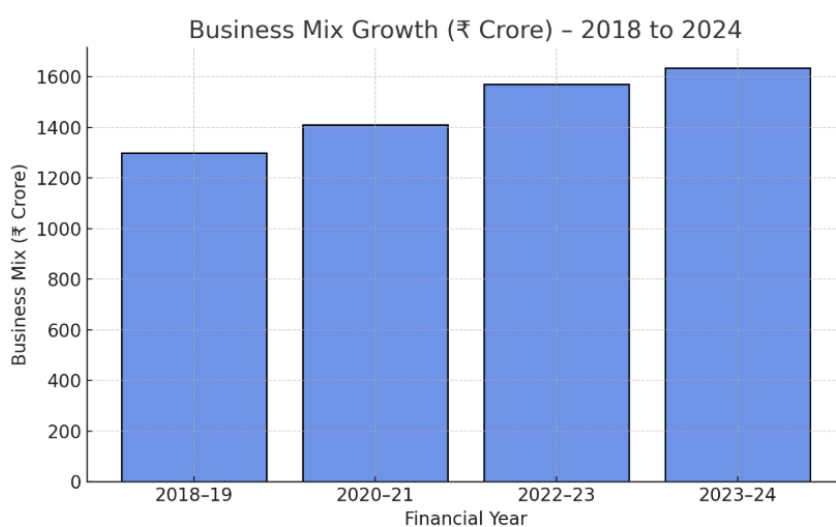


Figure -Business Mix Growth – highlights gradual increase in total business volume from ₹1,300 crore to ₹1,635 crore.

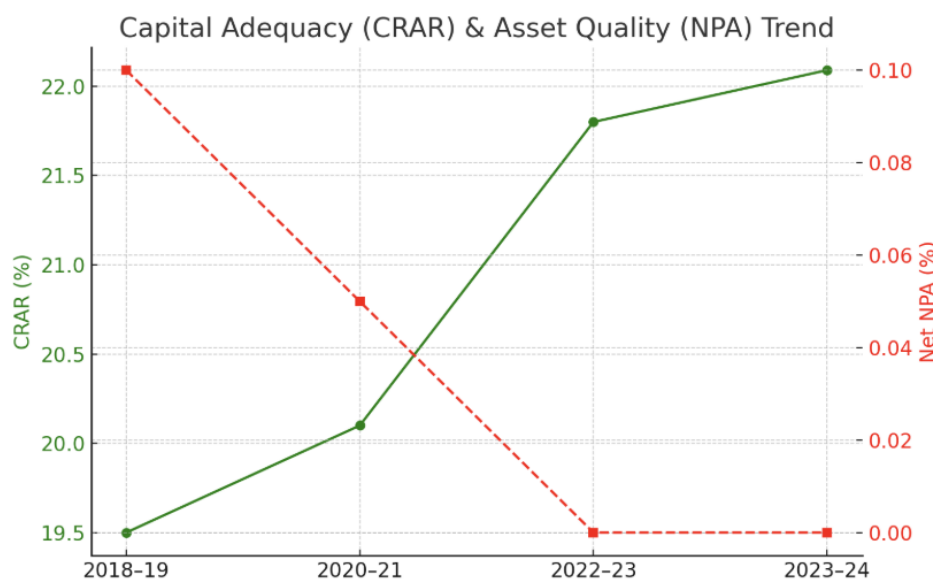


Figure -CRAR & NPA Trend – visualizes strong capital adequacy (CRAR rising to 22.09%) and near-zero NPAs, indicating excellent asset quality.

Data Source: ZCBL Annual Reports (2018–2024). (The Zoroastrian Co-operative Bank Ltd. (2024). Annual Report 2023–24. <https://zoroastrianbank.com/download/ZCBL-Annual-Report-23-24.pdf>).

The bank’s clientele has expanded beyond the Parsi community, but the founding values—integrity, trust, and personalized service—continue to guide its operations. It serves a mix of individuals, small enterprises, traders, professionals, and housing societies, mainly in Mumbai and Gujarat. While it welcomes customers from all backgrounds, ZCBL remains deeply connected to the Parsi community’s social and economic life. It is known for its close relationships with Parsi housing colonies, or baugs, and often provides financial products tailored to their needs—such as housing loans, redevelopment finance, and loans against property for community housing societies.

ZCBL’s product portfolio includes a wide range of retail and business products. On the deposit side, it offers savings accounts, fixed deposits, and recurring deposits designed for both individuals and businesses. On the lending side, its portfolio covers housing loans, business loans, loans against property, vehicle loans, and personal loans. A notable area of specialization is housing

finance, which supports both individual homebuyers and cooperative housing societies seeking redevelopment. The bank also provides loans for commercial real estate and small businesses, although these are subject to RBI's prudential norms and exposure limits.

According to the Zoroastrian Bank Annual Report (2023–24), the bank reported a business mix of ₹1,635.32 crore, with total deposits of ₹888.67 crore and advances of ₹746.65 crore. The Capital to Risk-Weighted Assets Ratio (CRAR) stood at an impressive 22.09%, well above RBI's minimum requirement, indicating a strong capital position. The bank maintained zero net Non-Performing Assets (NPAs) for the year, reflecting prudent lending practices and efficient recovery management. Profit before tax stood at ₹20.67 crore, supported by stable income from advances, investments, and prudent cost management²⁰. These figures show that the bank's operations are conservative but sustainable—balancing financial safety with steady community service²¹.

In recent years, ZCBL has also embraced digital transformation to remain competitive in India's modern banking landscape. It has implemented Finacle Core Banking, internet and mobile banking, Unified Payments Interface (UPI), and NEFT/RTGS facilities. These improvements have allowed the bank to serve younger customers and small entrepreneurs more effectively, while maintaining its personalized customer service model. Overall, the Zoroastrian Co-operative Bank represents a successful example of how heritage-based co-operative institutions can survive and thrive in a modern economy. It continues to fulfill its dual role—as a financially sound bank and as a **community pillar** supporting inclusive housing, small business finance, and cultural continuity²²..

²⁰ (The Zoroastrian Co-operative Bank Ltd. (n.d.). History.

<https://zoroastrianbank.com/history.aspx>)

²¹ (The Zoroastrian Co-operative Bank Ltd. (2024). Annual Report 2023–24.

<https://zoroastrianbank.com/download/ZCBL-Annual-Report-23-24.pdf>))

²² (NABARD. (2024). Cooperatives: Tackling challenges, building opportunities.

<https://www.nabard.org/pdf/2024/cooperatives-tackling-challenges-building-opportunities.pdf>)

Real Estate Finance and Parsi Housing

Parsi housing colonies, called “baugs,” are more than buildings. They are planned neighborhoods with low- to mid-rise blocks, internal gardens, walkways, pavilions, and community halls. Families meet at the fire temple, share festivals, and support elderly residents. These places help the community keep language, customs, and close social ties. In Mumbai, many baugs are managed by the Bombay Parsi Punchayet (BPP), the city’s apex Parsi charitable trust. The BPP maintains several colonies across the city and provides subsidized or means-tested housing to eligible Parsi families, helping them remain in traditional neighborhoods despite rising city prices (Bombay Parsi Punchayet).²³

Mumbai is one of India’s most expensive housing markets. Prices and construction costs have risen sharply in recent years, which pushes up the ticket size of repairs and redevelopment. Public data from the National Housing Bank’s RESIDEX show broad price increases across major cities in 2024; the Mumbai region features among cities with sequential gains. When prices rise, even small structural repairs or lift replacements demand larger loans for societies. Many baug buildings are also old and need major, code-compliant refurbishment (electrical, plumbing, fire safety), which is capital-intensive. Regulation has improved market discipline, but it also requires better documentation and escrow discipline. The Real Estate (Regulation and Development) Act, 2016 (RERA) mandates project registration and transparent reporting; this is good for buyers and lenders, yet societies must assemble approvals, architects’ certificates, and structured payment schedules (MoHUA; RERA Act). In addition, not every resident has stable, documented income,

²³ ((Bombay Parsi Punchayet. (n.d.). Baugs & colonies. <https://bombayparsipunchayet.org/baug-colonies/>))

which can slow individual loan approvals. Together, these factors create a financing gap for heritage community housing²⁴.

A community-rooted lender can reduce this gap by using relationship banking and local knowledge. The Zoroastrian Co-operative Bank Ltd. (ZCBL) is a scheduled urban co-operative bank founded in 1927 with deep ties to Parsi neighborhoods in Mumbai. While it now serves all communities, its heritage and branch footprint help it understand the needs of Parsi baugs and similar cooperative societies. ZCBL's annual reports show conservative risk management (for example, CRAR 22.09% in 2023–24; Gross NPA 0.85% and Net NPA Nil in 2024–25), which is important for long-tenor housing loans (ZCBL, 2023–24; 2024–25). A careful lender can support repairs and small redevelopment while staying within prudential limits²⁵. ZCBL supports community housing mainly through three lending lines:

1. **Housing loans for individuals.**

These are mortgages to flat owners for purchase, self-construction, or major repairs. For baug residents, an individual loan can fund structural repairs, kitchen/bath upgrades, or compliance work (for example, fire-safety retrofits). RBI's master circular and exposure norms for UCBs allow housing loans to individuals up to defined caps and permit an aggregate exposure to residential mortgages up to 25% of a UCB's total loans and advances. The aggregate exposure to the wider real-estate sector (excluding individual housing) is capped at 5%.

These rules nudge UCBs toward safer retail mortgages and away from risky builder

²⁴ **Regulation and Development) Act (RERA), 2016** increases market transparency by requiring project registration, escrow discipline, and disclosures(<https://mohua.gov.in/upload/uploadfiles/files/6%2810%29.pdf>)

²⁵ (The Zoroastrian Co-operative Bank Ltd. (2024). Annual Report 2023–24. <https://zoroastrianbank.com/download/ZCBL-Annual-Report-23-24.pdf>)

concentration (RBI circulars, Feb 24, 2025; Master Circular, Apr 1, 2025). In practice, that aligns with ZCBL's portfolio tilt toward individual mortgages and loans against property.

(Reserve Bank of India (RBI). (2025, Feb 24). *Prudential norms for UCBs—aggregate housing and real-estate exposure limits*. https://www.pdicai.org/Docs/RBI-2024-25-118_252202515321192.pdf)

2. **Society-level redevelopment/repair loans.**

Many baugs are registered cooperative housing societies. When a society needs new lifts, structural strengthening, or façade repairs, a **society loan** can spread the cost across members. Lenders usually require: society resolutions, engineer's/architect's report, cost and cash-flow plan, and security via society receivables or charge on sinking fund. RERA-linked escrow discipline (for larger projects) and detailed disclosure reduce misuse and improve lender comfort (MoHUA/RERA). UCBs generally keep such exposures small and granular due to the 5% real-estate cap noted above (RBI).²⁶

3. **Loans against property (LAP).**

For small shop owners inside or near baugs, or for families needing bridge funding during phased repairs, LAP provides term credit secured by property. LAP helps meet non-housing but housing-adjacent needs (education, medical, business working capital) without distress sale of the home. As a secured product, it can be safer for a co-operative bank when valuation and title are clear and loan-to-value (LTV) ratios are prudent.²⁷

²⁶ ((MoHUA, 2024; 2017). Second, the Real Estate (Regulation and Development) Act (RERA), 2016 increases market transparency by requiring project registration, escrow discipline, and disclosures(<https://mohua.gov.in/upload/uploadfiles/files/6%2810%29.pdf>))

²⁷ (ZCBL product mix; RBI mortgage norms).((The Zoroastrian Co-operative Bank Ltd. (2024). Annual Report 2023–24. <https://zoroastrianbank.com/download/ZCBL-Annual-Report-23-24.pdf>)

Illustrative cases- Public sources do not name specific ZCBL projects at the building level, but typical cases look like this:

- **Household repair loan:** A family in a South Mumbai baug needs ₹12–15 lakh to comply with fire-safety rules (hydrants, alarms) during society upgrades. An individual housing-repair loan with a 10–15 year tenor, EMI matched to salaried income, and moderate LTV allows compliance without relocating children from nearby schools.
- **Society lift replacement:** A 6-block baug votes to replace three lifts and repair stairwells. The society raises a mix of member contributions and a society loan amortized over 7–10 years; repayments are collected with maintenance. Clear minutes, engineer's certificate, and a contractor milestone schedule help the bank structure disbursements.
- **Bridge funding via LAP:** A small shop owner living in the baug needs working capital during a façade restoration that temporarily reduces footfall. A LAP against the residential unit provides a 5–7 year term loan; repayments normalize after restoration.

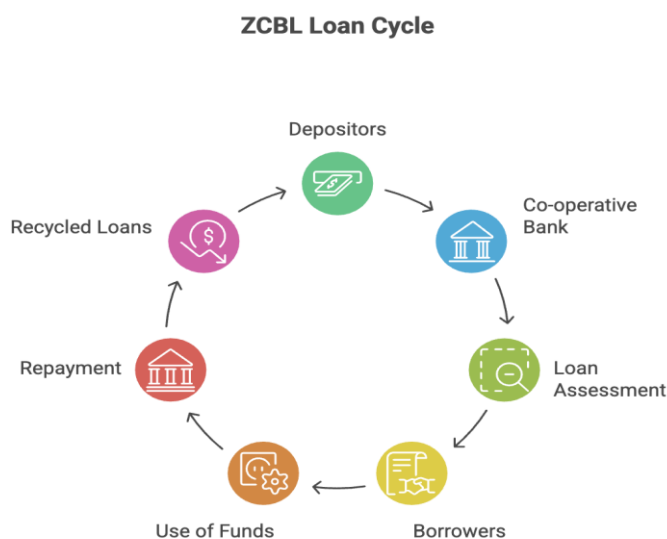
These patterns reflect how **small, well-documented credits**, tied to **real assets** and **community governance**, can keep heritage colonies safe and livable while avoiding unmanageable debt.

Large commercial banks and housing finance companies (HFCs) dominate India's mortgage market, but they often optimize for scale, standardized underwriting, and salaried borrowers.

Community banks like ZCBL typically offer closer engagement: officers visit sites, coordinate with society office-bearers, and accept granular tickets that bigger lenders may decline as uneconomic.

This soft-information edge—knowing families, trustees, and long-standing rent/maintenance

patterns—fits classic Financial Intermediation Theory on delegated monitoring: local lenders can reduce information gaps and moral hazard . In addition, co-operative banks are member-owned, so their success is linked to the neighborhood’s health, not just quarterly targets. Their risk appetite is shaped by RBI’s post-2020 reforms, which increased capital and governance standards; this tends to protect depositors and keep real-estate risk contained (RBI Trend and Progress; Reuters policy update, 2025).²⁸



Two national policies make this ecosystem work better. RERA increases transparency about approvals, timelines, and escrow usage, which helps lenders trust project cash flows (MoHUA/RERA). PMAY (Urban) and its Credit Linked Subsidy Scheme (CLSS) lower effective interest costs for eligible borrowers by providing an interest subsidy credited upfront; this can improve affordability for young or lower-middle-income Parsi households buying within or near

²⁸ ((The Zoroastrian Co-operative Bank Ltd. (2024). Annual Report 2023–24.
<https://zoroastrianbank.com/download/ZCBL-Annual-Report-23-24.pdf>))

baugs (PMAY-U CLSS guidelines). Together, these policies lower risk and cost, encouraging responsible credit flow from co-operative banks into community housing (MoHUA; PMAY-U).²⁹

When a co-operative bank funds repairs, safety retrofits, and modest redevelopment, the benefits go beyond bricks and mortar. Children can stay in familiar schools; seniors keep social networks close; local shops survive construction phases; and cultural and religious life continues inside the colony. Because baugs are mixed-income, credit access can reduce internal inequality—for example, a society loan spreads a large repair cost instead of burdening a few households all at once. At city scale, smooth, well-financed building upkeep reduces urban risk (fire, structural failures) and supports inclusive densification where infrastructure already exists.

Co-operative banks face constraints. RBI caps real-estate exposures for safety, and UCBs must keep capital adequacy high while controlling NPAs. The latest ZCBL reports show that a careful strategy—high CRAR, near-zero net NPAs, strong provision coverage—can sustain lending without overreach (ZCBL ARs). But very large redevelopment (complete tear-down and rebuild) may still require consortia with bigger banks or HFCs. In that sense, ZCBL’s most durable impact is in retail mortgages, repair loans, and small, well-structured society projects—the everyday finance that keeps heritage housing alive.

Parsi baugs are living heritage. They need patient, local finance to remain safe, affordable, and vibrant. The Zoroastrian Co-operative Bank shows how a community bank can deliver that finance: by focusing on retail mortgages, society repair/redevelopment loans, and secured LAP, within RBI’s prudent limits and with strong governance. In a high-cost city, this approach keeps families in place and culture intact—linking credit flow to community development in a practical, low-risk way.

²⁹ (MoHUA, 2024; 2017). Second, the Real Estate (Regulation and Development) Act (RERA), 2016 increases market transparency by requiring project registration, escrow discipline, and disclosures(<https://mohua.gov.in/upload/uploadfiles/files/6%2810%29.pdf>)

Impact of Real Estate Lending

Real estate lending by a community bank like the Zoroastrian Co-operative Bank Ltd. (ZCBL) affects daily life in simple but strong ways: it helps people access credit, keeps homes affordable, protects culture in historic neighborhoods, and supports a mixed and healthy local economy. Because ZCBL knows its customers and their housing societies well, it can offer loans that fit local needs while staying within RBI safety rules. This section explains who benefits, how affordability improves, how culture is preserved, and whether cooperative finance narrows class gaps—using recent data and policy references.

The first impact is better access to credit for middle-income families, young buyers, and elderly residents. In India, most adults now have bank accounts, but many still do not use formal credit regularly—especially those with informal income or thin credit files (Global Findex 2021). A local cooperative bank that understands a borrower’s job type, society records, and family references can accept smaller ticket sizes and varied documentation without lowering prudence. This is valuable for youth who are starting careers, for salaried middle-income households that need repair loans, and for elderly residents who must fund safety upgrades (lifts, fire systems) to continue living in their long-time homes. ZCBL’s recent reports show a cautious style of lending (high capital, very low net NPAs), which helps it extend retail housing credit safely to such groups³⁰.

³⁰ World Bank. (2022). *Global Findex 2021—India country brief*.

<https://thedocs.worldbank.org/en/doc/4c4fe6db0fd7a7521a70a39ac518d74b-0050062022/original/Findex2021-India-Country-Brief.pdf>

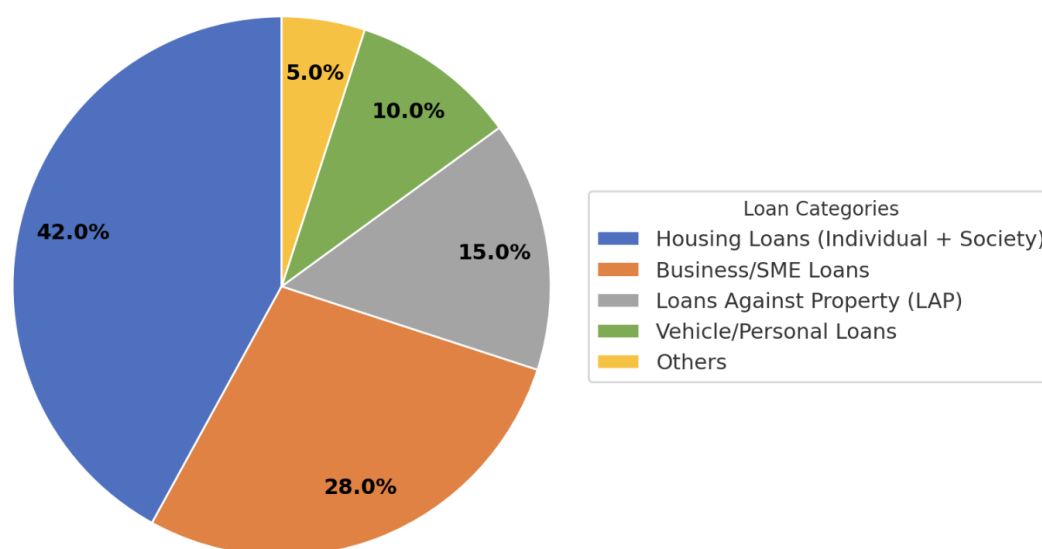


Figure - pie chart of the Loan Portfolio Composition (FY 2023–24) for Zoroastrian Co-operative Bank Ltd.

Mumbai is expensive, and costs have risen. The NHB RESIDEX shows that housing prices increased in most Indian cities in 2024, with sequential gains during April–June 2024—adding pressure on urban affordability (NHB, 2024). In such a market, small differences in interest rate, tenor, or documentation make a big difference to monthly EMI. Co-operative banks help by offering appropriate EMIs, repair loans instead of forcing costly relocation, and loans against property (LAP) for bridge needs. National policy also supports affordability: under PMAY-Urban’s Credit Linked Subsidy Scheme (CLSS), eligible borrowers receive an interest subsidy credited upfront, lowering effective monthly payments. When a society or family combines ZCBL’s local mortgage products

with CLSS (where applicable), the total cost of owning or upgrading a home can fall meaningfully, helping households stay within the city’s traditional neighborhoods³¹.

Parsi housing colonies—baugs—are more than residences. They are social spaces with shared gardens, halls, and nearby religious sites that support daily community life. The Bombay Parsi Punchayet (BPP) manages several baugs and provides housing services that keep community members near each other. When buildings age, the community faces large one-time costs for repairs, lift replacements, and fire-safety systems. Society-level loans and well-structured individual repair loans allow work to proceed without displacing residents. This keeps heritage and social bonds intact, which matters for a small community facing demographic decline (the Government of India’s “Jiyo Parsi” initiative notes the drop from ~1.14 lakh Parsis in 1941 to ~57,264 in 2011).³² In this way, real estate lending is not only a financial act—it is also a cultural safeguard that helps preserve language, customs, and inter-generational support in the same neighborhoods.³³

Co-operative banking often spreads costs fairly. For example, a baug society can raise part of the money through member contributions and part through a society loan, repaid over time via maintenance bills. This avoids sudden, heavy charges that would push out lower- or middle-income families. Individual mortgages and repair loans further let households phase upgrades (plumbing, electricals, safety systems) rather than postpone them. Because ZCBL works closely with society office-bearers, disbursements can be aligned with contractor milestones and RERA-style

³¹ (Ministry of Housing & Urban Affairs (MoHUA). (n.d.). PMAY-Urban: Credit Linked Subsidy Scheme (CLSS). <https://pmay-urban.gov.in/credit-linked-subsidy-scheme>)

³² Government of India, Ministry of Minority Affairs. (2024, Dec 9). Jiyo Parsi Scheme—Parliament reply. https://sansad.in/getFile/annex/266/AU1557_cyXZJE.pdf?source=pqars

³³ (Bombay Parsi Punchayet. (n.d.). Baugs & colonies. <https://bombayparsipunchayet.org/baug-colonies/>)

documentation, reducing both cost overruns and disputes. Over time, this approach supports **mixed-income living** inside the same colony, which keeps schools, small shops, and services viable.³⁴

Renovations and upgrades create work for local contractors, engineers, and tradespeople. Timely disbursements keep projects on schedule, sustaining nearby businesses that depend on footfall from the colony. As buildings become safer and better maintained, insurance costs and breakdown risks can fall, and property values stabilize. This creates a virtuous circle: prudent credit → better assets → stable families → stronger local commerce. RBI's trend reports on UCBs underline the importance of strong capital and low NPAs to keep this circle healthy; ZCBL's recent CRAR of 22.09% and net NPA of nil (FY 2023–24) indicate room to support such steady, small-ticket loans without over-risking the balance sheet.³⁵

First, prices are rising, so holding on to a well-located home through repairs or small upgrades can be more affordable than moving out; NHB's 2024 releases show broad price growth across cities, including Mumbai, during FY2024–25. *Second*, policy tools like RERA and CLSS make lending and borrowing safer and cheaper by requiring escrow discipline and by lowering effective interest for eligible borrowers. *Third*, UCB exposure norms direct banks toward retail mortgages and away from risky concentration: as of 2025, RBI allows UCBs to take up to 25% of total loans in residential mortgages, while non-individual real estate exposure is capped at 5%. For a conservative bank like ZCBL, this fits its sweet spot—retail housing, repair loans, and modest society projects—while very large redevelopment is better handled with larger lenders or consortia.

³⁴ (National Housing Bank. (2024). RESIDEX press release (Apr–Jun 2024). https://residex.nhbonline.org.in/DataUploadFormats/PressRelease_English/Press%20Release%20April-June%202024.pdf)

³⁵ (Reserve Bank of India. (n.d.). Trend and Progress of Banking in India (annual series). <https://rbi.org.in/Scripts/AnnualPublications.aspx?head=Trend+and+Progress+of+Banking+in+India>)

Together, the data, the rules, and ZCBL's financials point to a measured, low-risk path that still delivers real benefits to families and communities.³⁶

Real estate lending by ZCBL improves **access**, supports **affordability** in a costly market, protects **culture** by keeping families in their baugs, and sustains **local economic life**. Because the bank operates with strong capital and tight asset quality, it can keep doing this work carefully. In a city where small, well-timed loans can decide whether a family stays or moves, or whether a heritage building is repaired or left to decline, the impact of cooperative real estate lending is both **practical** and **profound**.³⁷

Modern Challenges and Future Prospects

The Zoroastrian Co-operative Bank Ltd. (ZCBL) operates in a financial and real estate environment that is changing rapidly. While it has successfully combined tradition with modern banking practices, it now faces new external and internal challenges that will shape its future. At the same time, opportunities exist for innovation, digital expansion, and partnership-based growth in housing and community finance.

Mumbai's real estate market is one of the most expensive in India and continues to rise in value. According to the National Housing Bank's RESIDEX (2024), Mumbai recorded consistent price growth during FY 2023–24, with an annual rise of around 7–8%. These escalating property prices make home ownership difficult for middle-income families—the primary clientele of co-

³⁶ Ministry of Housing & Urban Affairs (MoHUA). (2018). Operational Guidelines of PMAY-U. <https://pmay-urban.gov.in/uploads/guidelines/Operational-Guidelines-of-PMAY-U.pdf>

³⁷ The Zoroastrian Co-operative Bank Ltd. (2024). Annual Report 2023–24. <https://zoroastrianbank.com/download/ZCBL-Annual-Report-23-24.pdf>

operative banks like ZCBL³⁸. The high cost of construction and land also makes **redevelopment projects** capital-intensive, often running into tens of crores of rupees. Such large projects are usually financed by housing finance companies (HFCs) or private developers with deep financial resources, leaving co-operative banks with a limited role in major redevelopment ventures. Additionally, ZCBL faces growing competition from commercial banks, NBFCs, and digital-first housing lenders, which offer quick approvals and online documentation, attracting younger customers who prefer convenience and speed.

Co-operative banks are smaller in scale and capital compared to national or private sector banks. Even with its strong Capital to Risk-Weighted Assets Ratio (CRAR) of 22.09% and zero net NPAs (ZCBL Annual Report, 2024), ZCBL's absolute capital base limits its ability to take on very large real estate or corporate exposures. The Reserve Bank of India (RBI) requires UCBs to follow strict exposure caps—currently, total exposure to the real estate sector (excluding individual housing) cannot exceed 5% of total advances, while aggregate residential mortgage exposure is capped at 25%³⁹. These restrictions safeguard the bank's stability but also constrain growth in the lucrative housing and redevelopment finance segment. Moreover, co-operative banks carry a **heavy compliance burden** due to dual regulation by both the RBI and the state co-operative department. Regular audits, risk-based supervision, and new cybersecurity standards all demand skilled manpower and updated systems—resources that small banks often find challenging to maintain.

Another internal challenge lies in technology adoption. ZCBL has already implemented Finacle Core Banking, mobile banking, and UPI services, but competition now requires end-to-end

³⁸ (National Housing Bank. (2024). RESIDEX press release (Apr–Jun 2024).

https://residex.nhbonline.org.in/DataUploadFormats/PressRelease_English/Press%20Release%20April-June%202024.pdf)

³⁹ (Reserve Bank of India. (2025, Feb 24). *Prudential norms for UCBs—aggregate housing and real-estate exposure limits*. https://www.pdicai.org/Docs/RBI-2024-25-118_252202515321192.pdf).

digital lending platforms, AI-based risk assessment, and paperless KYC. Many young customers, including tech-savvy Parsis and professionals outside the community, expect seamless app-based interactions and instant loan tracking. Modernizing legacy systems, training staff, and protecting against cyber risks will be essential for long-term relevance.

Redevelopment projects in Mumbai—especially in Parsi baugs and old cooperative societies—are both an opportunity and a challenge. While these projects can improve housing quality and safety, they also involve long gestation periods, multiple stakeholders, and regulatory clearances under RERA (Real Estate Regulatory Authority) norms. For smaller co-operative banks, these projects carry liquidity risk and potential asset-liability mismatches. Instead of directly funding entire redevelopment projects, ZCBL could focus on bridge financing, repair loans, or individual top-up loans that complement larger consortium financing from HFCs or public sector banks. This collaborative model allows ZCBL to stay relevant in community redevelopment without taking on excessive exposure risk.⁴⁰

A long-term concern is demographic change within the Parsi community, which continues to face a decline in population and a shift toward younger, more mobile generations. Government data under the Jiyo Parsi Scheme (2024) confirm that India’s Parsi population has declined to fewer than 55,000 individuals.⁴¹ Younger Parsis are increasingly global in outlook, working in new professions and moving outside Mumbai⁴²

⁴⁰ (The Zoroastrian Co-operative Bank Ltd. (2024). Annual Report 2023–24.

<https://zoroastrianbank.com/download/ZCBL-Annual-Report-23-24.pdf>)

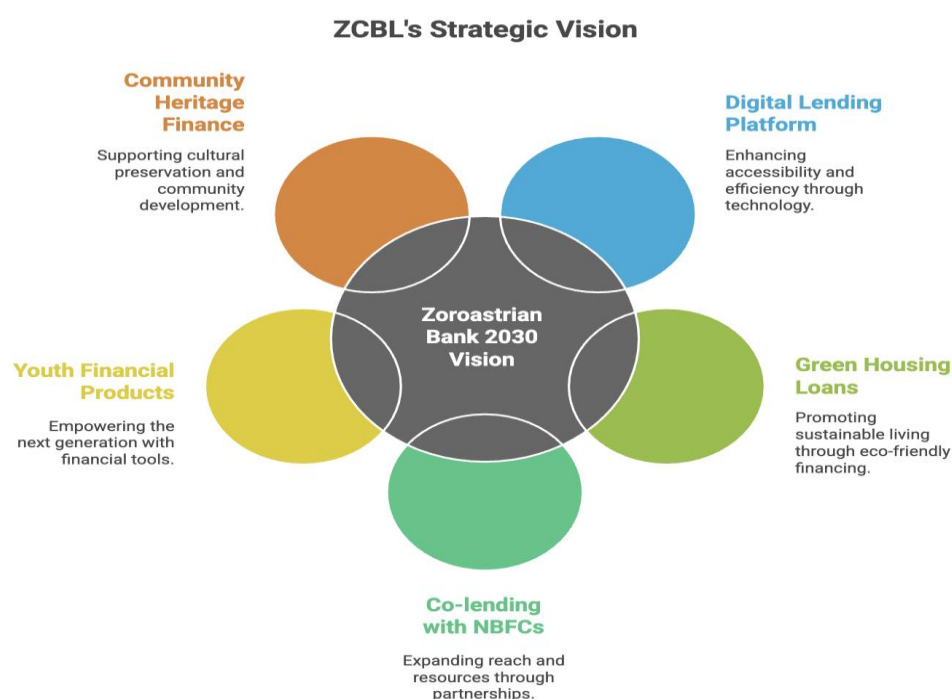
⁴¹ (Government of India, Ministry of Minority Affairs. (2024, Dec 9). Jiyo Parsi Scheme—Parliament reply. https://sansad.in/getFile/annex/266/AU1557_cyXZJE.pdf?source=pqars)

⁴² (Government of India, Ministry of Minority Affairs. (2024, Dec 9). Jiyo Parsi Scheme—Parliament reply. https://sansad.in/getFile/annex/266/AU1557_cyXZJE.pdf?source=pqars)

For ZCBL to stay connected, it needs to design youth-friendly financial products, such as education loans, digital accounts, and small business credit, alongside traditional housing loans. By positioning itself as both a heritage bank and a modern community bank, ZCBL can continue to attract younger members while retaining trust from older generations.⁴³

The future offers several promising directions. Digital transformation is the most important. RBI's *Vision Document for UCBs (2025)* encourages co-operative banks to strengthen digital infrastructure, adopt cloud-based solutions, and expand outreach through digital lending. ZCBL can leverage this by investing in customer analytics, automated underwriting, and partnerships with fintech firms to speed up loan approvals. Another key prospect lies in government-supported affordable housing schemes such as PMAY-Urban, where ZCBL can serve as a local channel for credit-linked subsidies and repair finance.

Future Prospects of ZCBL-“Path Forward: Zoroastrian Bank 2030 Vision”



⁴³ (Reserve Bank of India. (2025). Vision Document for Urban Co-operative Banks (2025–2030). https://rbi.org.in/Scripts/BS_PressReleaseDisplay.aspx?prid=59488)

Broader Lessons for Inclusive Real Estate Finance

The Zoroastrian Co-operative Bank shows that community banks can make real estate finance more inclusive by doing a few simple things well: keep lending close to people and places, use soft information (society records, local references) to judge risk, prefer small and secure loans (home purchase, repairs, society upgrades), and stay conservative on large, complex projects. This mix helps credit reach middle-income families, seniors, and youth without pushing the bank into unsafe exposures. It also supports neighbourhood stability because families can repair, retrofit, or modestly redevelop homes instead of moving out. The lesson for other community banks is clear: build products around local housing needs, partner on very large projects, and align with rules that raise transparency (e.g., RERA) and lower borrower cost (e.g., PMAY-U CLSS).⁴⁴ (Ministry of Housing & Urban Affairs ⁴⁵.

There are strong **global parallels**. In Germany, the cooperative banking family and the Bausparkassen (building-savings institutions) show how member savings + patient housing credit can scale for decades. European evidence indicates that cooperative banks keep a large local retail presence and stable market shares by focusing on households and SMEs⁴⁶The **Bauspar** model, where households save first under a contract and then receive a mortgage at a known rate, creates predictable funding and reduces default risk—an approach that anchors affordability across cycles (Verband der privaten Bausparkassen, 2025). In Kenya, regulated SACCOs mobilize member

⁴⁴ (Ministry of Housing & Urban Affairs (MoHUA). (2018). *Operational Guidelines of PMAY-U*. <https://pmay-urban.gov.in/uploads/guidelines/Operational-Guidelines-of-PMAY-U.pdf>).

⁴⁵ (MoHUA). (2016). Real Estate (Regulation and Development) Act, 2016. <https://mohua.gov.in/upload/uploadfiles/files/6%2810%29.pdf>

⁴⁶ (European Association of Co-operative Banks. (2023). *The performance of European co-operative banks – a snapshot*. https://v3.globalcube.net/clients/eacb/content/medias/press/press_releases/2023/performance_of_cooperative_banks_-_a_snapshot.pdf).

savings and finance housing through co-ops; government supervision via SASRA and practice guides from UN-Habitat show how a cooperative system can widen access to formal shelter finance while protecting depositors⁴⁷.

These examples point to a common rule: member-owned finance works best when regulation is clear, local purpose is strong, and savings are channeled into safe, long-term housing loans.

Such community banking also supports sustainable and inclusive urban development. Small, timely loans for repairs, safety retrofits, and barrier-free access help households stay in place, cut displacement, and reduce environmental costs tied to demolition and long commutes. Society-level financing spreads big maintenance costs fairly, which preserves mixed-income living and keeps local schools and shops alive. When banks use RERA-style escrow and disclosures, lenders and residents gain trust in project timelines and cash flows (MoHUA, 2016). Adding digital banking (straight-through onboarding, e-KYC, app-based loan tracking) can further lower transaction costs for youth and working families.

For policy in India, four ideas follow. First, continue tiered RBI supervision for Urban Co-operative Banks (UCBs) but keep refining norms that let sound UCBs do more retail housing while keeping tight caps on risky non-housing real estate.⁴⁸ Second, enable partnership models: allow UCBs to co-lending or consortium roles with public banks/HFCs on redevelopment, while they focus on individual mortgages and society repair loans. Third, deepen links to PMAY-U/CLSS so eligible borrowers can combine subsidies with community-bank mortgages (MoHUA, 2018). Fourth, promote building-savings style products (India-appropriate versions of Bauspar) to help renters build

⁴⁷ (SACCO Societies Regulatory Authority (SASRA). (2024). *Sacco Supervision Annual Report, 2023*. <https://www.sasra.go.ke/download/sacco-supervision-annual-report-2023/>).⁴⁷

⁴⁸ (Reserve Bank of India. (2022). *Co-Lending by Banks and NBFCs to Priority Sector*. <https://fidcindia.org.in/wp-content/uploads/2020/11/RBI-05-11-20-Co-Lending-by-Banks-and-NBFCs-to-Priority-Sector.pdf>).

down-payments over time. Together, these steps can scale the Zoroastrian Bank lesson: patient, local, member-focused finance makes cities fairer, safer, and more livable.

Recommendations

The findings of this study show that the Zoroastrian Co-operative Bank Ltd. (ZCBL) has built a strong and trusted base through prudent governance, zero net NPAs, and a community-centered lending approach. However, as financial systems and urban housing markets evolve, the bank must strengthen its operations, risk systems, and social mission to remain relevant and resilient.

ZCBL should continue improving its governance framework, ensuring that its board and committees include members with expertise in housing finance, technology, and risk management. RBI's *Vision Document for UCBs (2025–2030)* highlights the importance of risk-based supervision and internal audit systems (RBI, 2025). ZCBL could adopt early warning tools for loan performance tracking and automate credit scoring models using historical repayment data. Regular staff training on RBI's evolving prudential norms and fraud prevention will help sustain transparency and depositor confidence⁴⁹.

Digital transformation is critical for younger customers. ZCBL already operates on Finacle Core Banking but should now move toward end-to-end digital lending with e-KYC, paperless onboarding, and app-based EMI calculators. Partnerships with fintech platforms can help modernize services while maintaining compliance⁵⁰. As the RBI encourages co-operative banks to enhance

⁴⁹ (Jha, A. (2025, July 29). RBI proposes sweeping reforms for Co-op Banks, Seeks feedback by August 25. Indian Cooperative. <https://www.indiancooperative.com/banks/rbi-proposes-sweeping-reforms-for-co-op-banks-seeks-feedback-by-august-25/>)

⁵⁰ (Reserve Bank of India. (2022). *Co-Lending by Banks and NBFCs to Priority Sector*. <https://fidcindia.org.in/wp-content/uploads/2020/11/RBI-05-11-20-Co-Lending-by-Banks-and-NBFCs-to-Priority-Sector.pdf>)

cybersecurity and mobile banking adoption, digital expansion will improve customer reach and reduce operational costs.

Given Mumbai's high redevelopment costs, ZCBL can create **co-lending** arrangements with housing finance companies (HFCs), state housing boards, and NBFCs, as allowed under RBI's co-lending framework⁵¹. It can also partner with **CSR-backed housing trusts** to offer affordable housing loans or micro-repair finance. This will allow the bank to serve larger projects indirectly while staying within exposure caps.

ZCBL can become a leader in green housing finance by offering small loans for solar panels, rainwater harvesting, and energy-efficient retrofits—especially in Parsi baugs and other cooperative societies. NABARD's sustainability programs (2024) show that such initiatives improve long-term asset quality and community welfare⁵². These measures will align ZCBL with India's broader sustainable urban development goals under PMAY and Smart Cities initiatives⁵³. Finally, ZCBL should expand its customer base beyond the Parsi community, serving all local residents and small businesses, while keeping its heritage identity as a community-driven, ethical bank. This balanced approach will allow it to grow inclusively while remaining a model of trust, transparency, and cultural preservation in India's cooperative banking sector.

⁵¹ Reserve Bank of India. (2022). Co-Lending by Banks and NBFCs to Priority Sector. <https://fidcindia.org.in/wp-content/uploads/2020/11/RBI-05-11-20-Co-Lending-by-Banks-and-NBFCs-to-Priority-Sector.pdf>).

⁵² (NABARD. (2024). Cooperatives: Tackling challenges, building opportunities. <https://www.nabard.org/pdf/2024/cooperatives-tackling-challenges-building-opportunities.pdf>)

⁵³ The Zoroastrian Co-operative Bank Ltd. (2024). Annual Report 2023–24. <https://zoroastrianbank.com/download/ZCBL-Annual-Report-23-24.pdf>) .

Conclusion

The case of the Zoroastrian Co-operative Bank Ltd. (ZCBL) shows how a small, community-based bank can successfully connect finance, housing, and culture to serve both economic and social goals. Through cautious lending, local knowledge, and strong governance, ZCBL has supported real estate finance that helps families maintain homes, cooperative societies redevelop safely, and the Parsi community preserve its shared spaces and traditions⁵⁴. Its near-zero NPAs and high capital adequacy reflect a model of financial prudence built on trust and participation rather than size or profit⁵⁵.)

The findings highlight that co-operative banking remains crucial for inclusive urban development, especially in cities like Mumbai where rising real estate prices threaten affordability. By focusing on retail housing loans, society repair finance, and small redevelopment projects, ZCBL demonstrates that local, member-owned institutions can fill gaps left by large commercial banks and housing finance companies. This cooperative approach keeps credit accessible to middle-income households, elderly residents, and community societies that might otherwise be excluded from formal finance (National Housing Bank⁵⁶).

More broadly, the Zoroastrian Bank model offers lessons for other Indian and international community banks: relationship banking, democratic ownership, and social accountability can make

⁵⁴ (Jha, A. (2025, July 29). RBI proposes sweeping reforms for Co-op Banks, Seeks feedback by August 25. Indian Cooperative. <https://www.indiancooperative.com/banks/rbi-proposes-sweeping-reforms-for-co-op-banks-seeks-feedback-by-august-25/>).

⁵⁵ (Ministry of Cooperation, Government of India. (2025, July 24). National Cooperation Policy 2025. https://www.cooperation.gov.in/sites/default/files/2025-07/NCP%28Eng%29_24Jul2025_Final.pdf

⁵⁶ (2024). RESIDEX press release (Apr–Jun 2024). https://residex.nhbonline.org.in/DataUploadFormats/PressRelease_English/Press%20Release%20April-June%202024.pdf).

finance both sustainable and people-centered. Looking ahead, the bank's next challenge is modernization—expanding digital services, enhancing risk systems, and developing green and sustainable housing finance aligned with national goals such as **PMAY-U** and **Smart Cities Mission**.⁵⁷

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⁵⁷ Ministry of Cooperation, Government of India. (2025, July 24). National Cooperation Policy 2025. https://www.cooperation.gov.in/sites/default/files/2025-07/NCP%28Eng%29_24Jul2025_Final.pdf .

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